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Global FX Strategy

Fade EUR rallies if Warsh disappoints hawks

CITI'S TAKE

The FOMC is unlikely to deliver the hawkish surprise needed to finally break the USD out of its 12-month range. On the contrary, increasing potential for an Iran deal, which we expect new Fed Chair Warsh will lean into, could be an additional factor for looking past any commodity-induced inflation surprises. While we had been more tactically cautious risk assets, the combination of a potential deal, Warsh delivering a neutral message, and a successful major IPO last week could see risk stabilize and rally. In FX, that should see carry trades resume, which we prefer funding with EUR and CAD.

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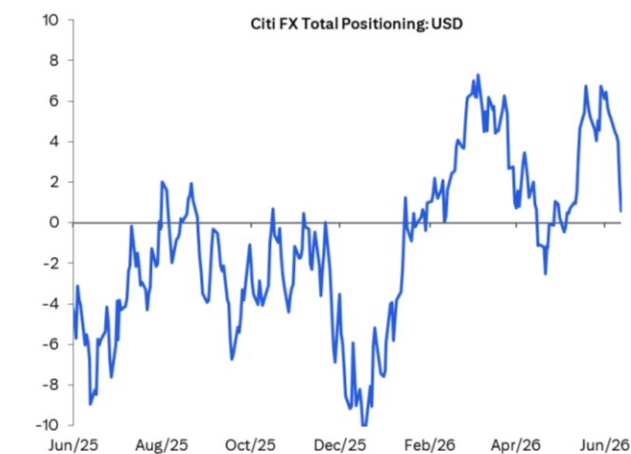
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Despite significant interest for Kevin Warsh's first meeting, we do not expect any big surprises this week. Market expectations already lean towards a hawkish statement and SEP: (1) the statement is likely to drop the easing bias; (2) the core PCE forecast should be revised higher; and (3) the median dot likely shifts to no change for 2026 (we might even see a dot or two move towards a hike, but this is more of a risk than a base case). In our view, these changes should not cause a significant FX reaction, as they are already priced in.

The real uncertainty for markets is what we will hear from Warsh during the press conference. While many questions and answers will focus on Warsh's potential structural changes for the Fed, we think the most immediate focus for FX will be around Warsh's attitude towards current market pricing (+18bps of hikes through year-end, with the first hike fully priced for March 2027). Our base case is Warsh will rely on his view of providing less forward guidance to give ambiguous answers towards current market pricing. A potential US-Iran deal and weaker CPI give the Fed room to look past goods and energy inflation, but with USD longs unwound (Figure 1) and DXY near fair value (Figure 2), there may be limits to any knee-jerk USD selling.

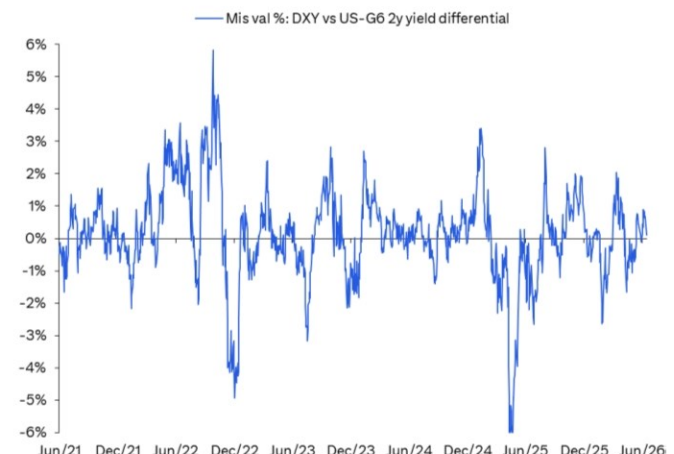
Figure 1. USD longs have been unwound pre-FOMC



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Source: Citi Research, Bloomberg

Figure 2. DXY is close to its short-term fair value

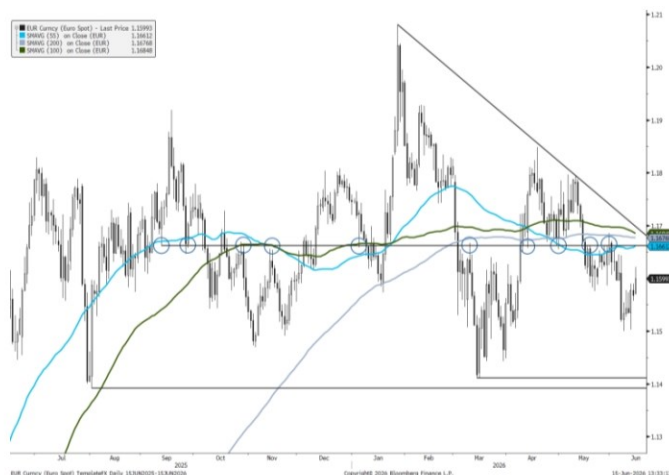


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Ultimately, our medium-term USD view is based on relative growth differentials, which leaves us looking for EURUSD towards 1.14 (with potential for a downside overshoot). But we may first need clearer signs that global front-end yields have peaked and could ease as conflict concerns fade. In the meantime, we like using any USD weakness around the FOMC meeting to add to EURUSD shorts, especially towards resistance around 1.1660–1.1680 (Figure 3; converging historically pivotal level and multiple moving averages including the 200dma).

Figure 3. Risk/reward to sell EURUSD is attractive around 1.1660–1.1680 resistance



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Source: Citi Research, Bloomberg

Figure 4. DXY range at the base of the uptrend continues



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Source: Citi Research, Bloomberg

In assessing the risks, though, our view is that the asymmetry skews USD-positive. While not our base case, a Warsh endorsement of market pricing—or at least endorsing the statement/SEP notion that a hike or a cut is equally likely—could lead to a material USD rally with chasing. That is because we would expect any indication that a hike is on the table would lead markets to bring forward such pricing, while likely adding in premium for a second hike. Such a development could finally see the DXY break out of its 12-month consolidation at the base of the long-term channel uptrend (Figure 4). Historically, such breakouts should be chased if confirmed (preferably on a multi-day basis).

Meanwhile, we see a high bar for the market to price out hikes even if these hawkish risks do not materialize, as this likely requires data that first shows inflation breadth is peaking. But one pair that could see a bigger reaction on any knee-jerk USD selling is USDJPY if the MoF uses it as an opportunity to intervene. We have seen the MoF use JPY-positive catalysts to give their intervention more "bang for their buck" (as seen July 11, 2024 when they intervened after a US CPI miss). And given the buildup in speculative JPY short positioning, this is a pair we would monitor tactically in such a scenario.

But for now, the more likely path remains for the USD to remain in its range, with a bias to buy dips on corrections. Combined with an improving risk backdrop (see below), this maintains a positive backdrop for carry which we like funding with EUR and CAD.

Please also see the below for additional context:

[US Economics - The Daily Update – Another dovish development](#)

[US Economics - FOMC Preview – Hawkish SEP, dovish Warsh](#)

[US Rates Weekly - New chair, same Fed inertia](#)

Tactical bearish risk sentiment fades

We started flagging [tactical caution](#) on risk assets on June 2 (the day of the S&P 500 all-time high...so far). As this was a tactical view, we suggested short-dated downside protection (specifically NZD and SEK puts) rather than exiting any risk-positive trades. While we did see a market correction (along with weakness in those currencies), we may have kept the bearish view longer than we should have.

The combination of a greater likelihood for a US-Iran deal, the successful placement of a major tech IPO last week, and what we think will be a relatively banal Fed meeting could support risk assets from here (and big picture we remain constructive on US equities while the AI capex backlog remains robust). And many of the negative tactical indicators we flagged turned positive alongside the stock rally (e.g., discretion vs staples, vol of vol versus vol, etc.). [Citi Commodities](#) has also shifted down their oil forecast as they see Strait of Hormuz flows resuming relatively quickly, normalizing by mid-late July. Uncertainty remains, but given investor fatigue with endless headlines in recent months, we would expect any memorandum that elongates the ceasefire will be viewed as a welcome relief. Therefore, absent an actual re-escalation, this summer should shift towards a lower vol regime. Earnings remain a positive catalyst to risk assets and are due to start again in a month.

In G10, AUD outperformance could resume as the best proxy for risk assets; however, a recent patch of soft data, peak hawkishness close to priced for the RBA, and slowing China data could see the fundamental case weaken. And NOK could be sensitive to further corrections in oil, especially if Norges flips to NOK selling next month as we expect. We think the fundamental cases for CAD, SEK, and NZD remain weak, and carry is limited. That leaves G10 as a better source of funders, with CAD and EUR especially attractive given yields and growth outlooks, while USD remains the best carry long in the group, in our view.

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Appendix A-1

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